TITAN
COMPANY

# Overview

**Our Brands**

| | Luxury | Premium | Mid Market | Mass Market |
|---|---|---|---|---|
|  | FAVRE-LEUBA | XYLYS<br>NEBULA | TITAN<br>fastrack<br>TITAN RAGA<br>Zoop | SONATA |
|  | ZOYA | TANISHQ | Mia<br>CARATLANE | |
|  | | | TITAN eyeplus<br>fastrack | |
|  | | | TANEIRA<br>SKINN | |

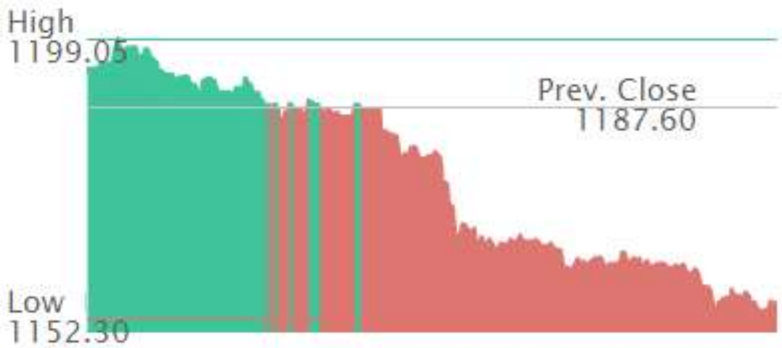
- A lifestyle company
- Focus on underpenetrated, underserved and unorganized sectors.
- New category every decade.
  - 1987-Watches
  - 1996- Jewellery
  - 2007-Eyewear
  - 2013-Fragrance
  - 2016-Handwoven Sarees

**Associated Brands**

| | |
|---|---|
| **Joint Venture** | Montblanc |
| **Licensed Brands** | Tommy Hilfiger \| Police \| Annie Klein \| Kenneth Cole \| Coach \| Lee Cooper |

# Alpha generator

PRICE MOVEMENT | MOJO ANALYSIS




SECTOR -2.29%

SENSEX 0.12%

52 Wk Low 731.70

52 Wk High 1,389.85

Open Price: 1,196.40 | Bid Price (Qty): 1,154.10(17) | Offer Price (Qty): 1,155.00(444) | VWAP: 1,171.29

**1 YEAR RETURN - OUTPERFORMED THE SENSEX BY 10.58%**

| 1W | 1M | YTD | 1Y | 3Y | 5Y | 10Y |
|---|---|---|---|---|---|---|
| -4.07 % | -0.5 % | -2.75 % | 24.51 % | 254.55 % | 204.66 % | 1524.35 % |
| -0.38% | 1.25% | 0.12% | 13.93% | 55.13% | 50.16% | 136.5% |

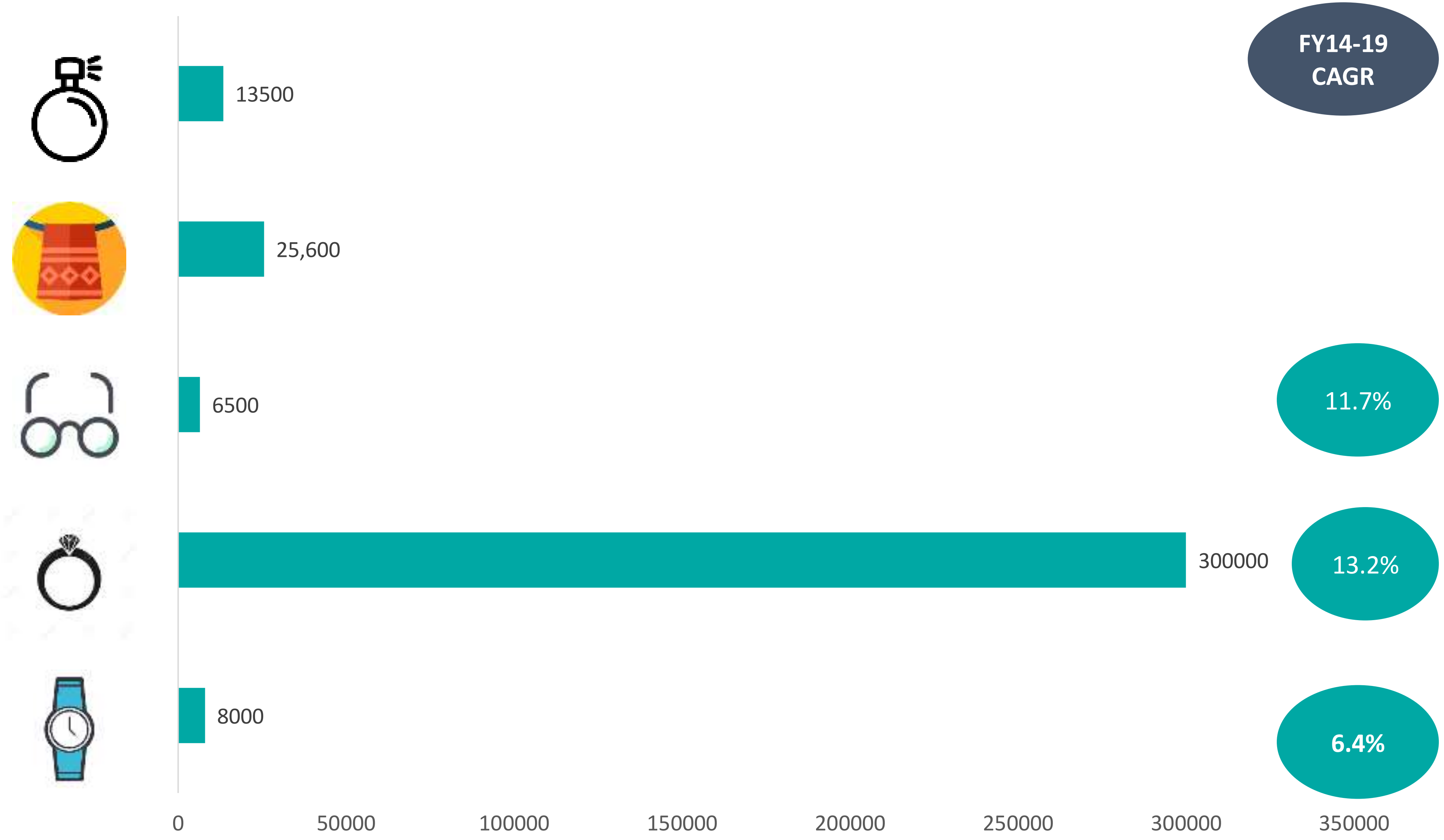
Stock Absolute Returns   Sensex Absolute Returns

| Industry | Market cap | P/E | Industry P/E | Dividend Yield | Debt Equity | Return on Equity | Price to Book |
|---|---|---|---|---|---|---|---|
| Jewellery | Rs 1,06,179.00 Cr (Large Cap) | 73.98 | - | 0.42% | 0.72 | 23.54% | 17.41 |

# Thesis

- Titan is a category leader by far in branded jewelry (Tanishq) with presence across several other smaller segments. It originally started out as a branded watch company
- Why Tanishq?
  - The jewelry market itself is 20x that of Tanishq's revenue – long runway for growth
  - Organized players should benefit from value migration due to formalization of the sector.
  - With best designs in the market, better store count, focus and overall financial metrics among organized players, Tanishq should be able to extend its market share leadership.
  - Titan is a unique PPP with a Direct Import License (only company among private players) under the oversight of a board which includes government officials.
  - The TATA brand adds to the trust people have with Tanishq, in a sector fraught with frauds and bad practices
- Strategy has always been to become a category leader in underserved, unorganized sectors.
- Sarees is the second largest target market for Titan under the brand name Taneira.
- Watches, Lenswear and Fragrances are other focus areas for Titan – smaller target markets
- Reco: Strongest company in the discretionary theme - buy the stock below 1000 and build a long term position

# Market Size (INR Crores)




- Jewelry is the largest segment followed by Sarees
- All segments include both organized and unorganized sector.

# Tanishq – Market Sizing

| Particulars | Amount |
|---|---|
| No. of marriages in India per year [ Mn] | 10 |
| Average gold consumed per marriage [In gm] | 35 |
| Cost per 10 gram | 40,000 |
| Average gold consumed per marriage [INR] | 1,40,000 |
| Making Charges | 10% |
| Total Gold cost per marriage | 1,54,000 |
| India Wedding Jewellery Market [INR Mn] | 1,540,000 |
| Wedding Demand as % of Annual Dom. Demand [WGC] | 50% |
| **Indian Domestic Jewellery Market [INR Mn]** | **3,080,000** |
| **Indian Domestic Gems and Jewellery Market [INR Mn]** | **3,666,667** |

- Titan, in its Annual Report for FY19, pegs the Jewellery Market at INR 3L crore
- This segment should drive growth for the company over the foreseeable future
- Overall market is compounding at 3 to 4% over the last decade – based on our estimates
- Grammage is shrinking (next slide) and the growth is primarily price-led
- Since the industry growth is low, much of Titan's growth is likely to come from market share gains
- Gold jewelry should migrate to Platinum/diamond jewelry as economy grows – Carat lane is a good acquisition
- Jewelry serves two purposes: store of value and adornment

# Gold Budget for an average wedding

| | Gold Per 10 gram | | Avg. Wedding consumption (gm) | | Average Spend (INR) |
|---|---|---|---|---|---|
| 1980 | 1,330 | × | 100 | = | 13,300 |
| 2008 | 12,500 | × | 75 | = | 93,750 |
| 2019 | 40,000 | × | 35 | = | 1,40,000 |

- According to this source, average wedding gold consumption had decreased from 100 grams in 1980 to 70-80 grams in 2008.
- Currently, it is 30-40 grams and the ***demand for gold seems relatively inelastic – This decade saw faster migration to financial savings, a trend that might continue as economy becomes more mature***
- ***Gold vs MFs****:*
  - *10 MM weddings vs 30 MM SIP accounts (HDFC AMC appears more capital efficient despite the lower tkt sizes)*
  - *avg tkt sizes – INR 1.4 lacs for Gold vs 0.35 lacs for MFs*

# Titan Vs HDFC AMC

| Revenue CAGR | 3Y | 5Y | 10Y |
|---|---|---|---|
| Titan | 14.3% | 10.7% | 15.5% |
| HDFC AMC | 9.0% | 13.4% | 12.3% |

| EBIDTA CAGR | 3Y | 5Y | 10Y |
|---|---|---|---|
| Titan | 11.5% | 11.6% | 17.7% |
| HDFC AMC | 11.4% | 15.3% | 13.4% |

| PAT CAGR | 3Y | 5Y | 10Y |
|---|---|---|---|
| Titan | 25.4% | 11.5% | 18.8% |
| HDFC AMC | 19.1% | 17.5% | 16.1% |

| RoE | FY17 | FY18 | FY19 |
|---|---|---|---|
| Titan | 18.1% | 23.7% | 24.9% |
| HDFC AMC | 42.8% | 38.8% | 35.1% |

| RoCE | FY17 | FY18 | FY19 |
|---|---|---|---|
| Titan | 25.8% | 33.7% | 35.7% |
| HDFC AMC | 62.1% | 57.6% | 51.6% |

| CC Days | FY17 | FY18 | FY19 |
|---|---|---|---|
| Titan | 66.3 | 64.9 | 67.0 |
| HDFC AMC | -57.1 | -42.5 | -34.6 |

- ❑ Because of regulatory issues impacting FY14 and FY15 in particular, HDFC AMC comes out on top in the 5 years window.
- ❑ Way higher margins of HDFC AMC have pushed up RoE and RoCE figures.
- ❑ Being a service oriented firm, HDFC AMC does not have inventory maintenance task unlike Titan and hence, negative cash conversion days.

# Tanishq – Key Initiatives till 2023

- Strengthen overall brand purpose : *Adornment*
- Increasing sale of new products from 31% in FY18 to 45% by FY23.

- Strengthen Presence in *Wedding Segment*.
- Increasing contribution from 35% in FY18 to 50% in FY23.

- Strengthen presence in high value diamond jewelry
- Increasing contribution from 30% in Fy18 to 50% in FY23.

- 400+ towns identified as *Middle India*.
- FY18: 250 stores across 150 cities.
- FY23 Target: 400 stores across 250 towns.

- Expand gold exchange.
- 40% in FY18 to 50% in FY23.
- Increase contribution from 15+ *Low Market Share Cities*.
- Carat Lane BE by FY19 (EBIDTA margins improving but not positive as of FY19).

# What differentiates Tanishq vs other jewelers

| Titan Industries | | 22.1 |
|---|---|---|
| Cons | FYE Mar, in Rs millions | FY19 |
| | | 22.7% |
| + | Net revenues | 1,97,785 |
| - | Cost of revenues | 1,43,943 |
| | Gross profit | 53,843 |
| | | 27.2% |
| | **Operating expenses** | |
| - | Employee expenses | 10,193 |
| - | SG&A expenses | 23,735 |
| | **Operating Expense** | **1,77,870** |
| | EBITDA | 19,915 |
| | *Margin %* | *10.1%* |
| - | Depreciation | 1,628 |
| - | Amortisation | |
| | EBIT | 18,287 |
| | | |
| - | Interest expenses | 525 |
| + | Other income | 1,829 |
| - | Exceptional items | -- |
| | PBT - Reported | 19,591 |

- 5% premium due to the brand/Tata backing
- Franchisee (L3) route for expansion means asset light model – 60%+ of stores are franchised
- Studded jewelry still only 30% of the revenue
- Golden harvest scheme i.e. advance deposit for purchases 40%

- Only private company to have Gold import license
- Cheapest source of funding at 4 to 5% all in cost
- 80% of Karigar surveyed to be under working conditions – hence attrition is low

- 3 to 4% - highest advertising spend in the industry – helps in brand creation
- In-house designs – introduce about 2000 designs every year (AR data)

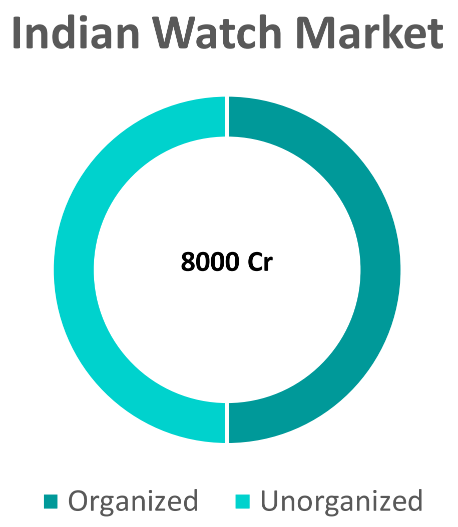
- Only jewelry company to be rated AAA by CRISIL (recent upgrade)
- Already enjoys lowest interest cost on working capital loans)

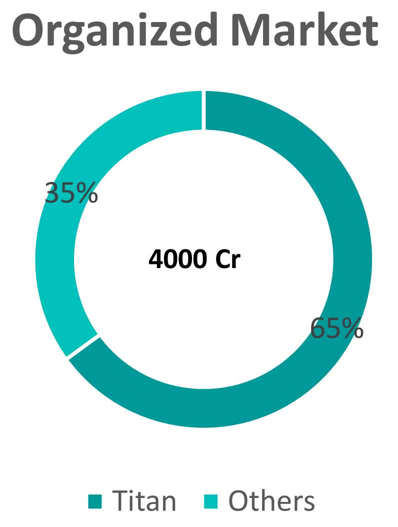
# Taneira – Sarees Market Sizing

| Particulars | Amount |
|---|---|
| Est. population of India [ Mn] | 1,300 |
| Average family Size | 4.9 |
| Estimated number of Households [Mn] | 265 |
| % of workforce earning more than INR 50,000 p.m. | 3.02% |
| Target Households [Mn] | 8 |
| Est. spl. Occasion Sarees/Lehengas purchased per HH pa | 4 |
| Est. units purchases [Mn] | 32 |
| Average Ticket Size [for Taneira] | 8,000 |
| **Estimated Market Size [INR Mn]** | **256,000** |

- Taneira is the youngest brand of the company venturing in the oldest market of handwoven ethnic wear.
- Positioned as a special occasion brand, it dodges the competition from western wear, which the daily use traditional wear should be facing.
- Trent, a sister company of Titan, has already excelled in fast fashion women wear category. The knowledge transfer from Trent, in addition to Titan's experience with creating brands in fragmented and unorganized markets should help the brand grow rapidly.
- It could be a INR 700 crore brand in next 5 years.

# Titan – watches the oldest segment

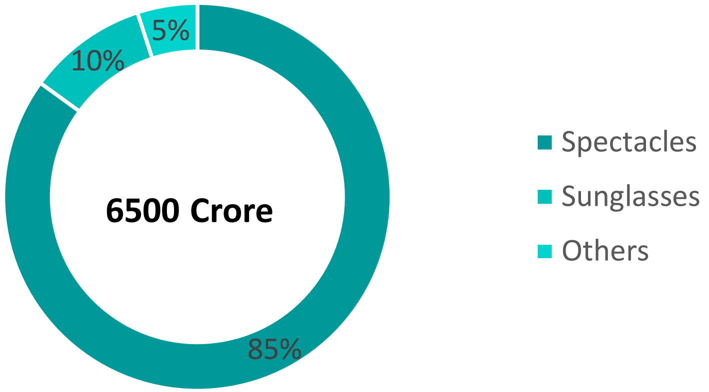



- Unorganized market generally caters to lower end of the market (Sonata Market) and includes small players assembling watches illegally, smuggled watches and fakes.
- According to AR 2019, The global watch market over the last 6 years has been growing at a CAGR of 5% with the traditional watches segment declining at -3%, while the smartwatches and bands segment, estimated at around US$ 20 billion, growing at 84% CAGR.
- Formalization of the sector led by GST should provide an impetus to organized players and Titan's mass-market brand *Sonata* could be the major beneficiary.
- One big disclaimer attached to the previous point would be the migration of people from unorganized to organized wearable players due to style quotient and additional features like health monitoring etc. Titan is positioned third (7.4% unit market share) in this category led by Xiaomi (45.8%) and GOQii (18.8%) [Q3FY19].
- Titan JUXT smartwatches are priced in the range of INR 19-23K. This is the range of Samsung and some of the Apple entry level variants as well and hence salience could be impacted.

# Titan Eye+

## Eyewear Market




- Market has been growing at a 9% CAGR over the last 3 years – changes in lifestyle (higher screen-on time) + fashion trends should keep this trend up.
- Titan has a market share of ~8% across corrective/fast fashion etc.
- Recent Lenskart funding (US$ 230 MM) by Softbank would mean that competition/discounting should be high over the next 5 years.
- Margin dilutive but high growth.

### Outlook

- Lifestyle led higher incidence of eyesight problems.
- Shift in perspective from visual correction to facial accessories.

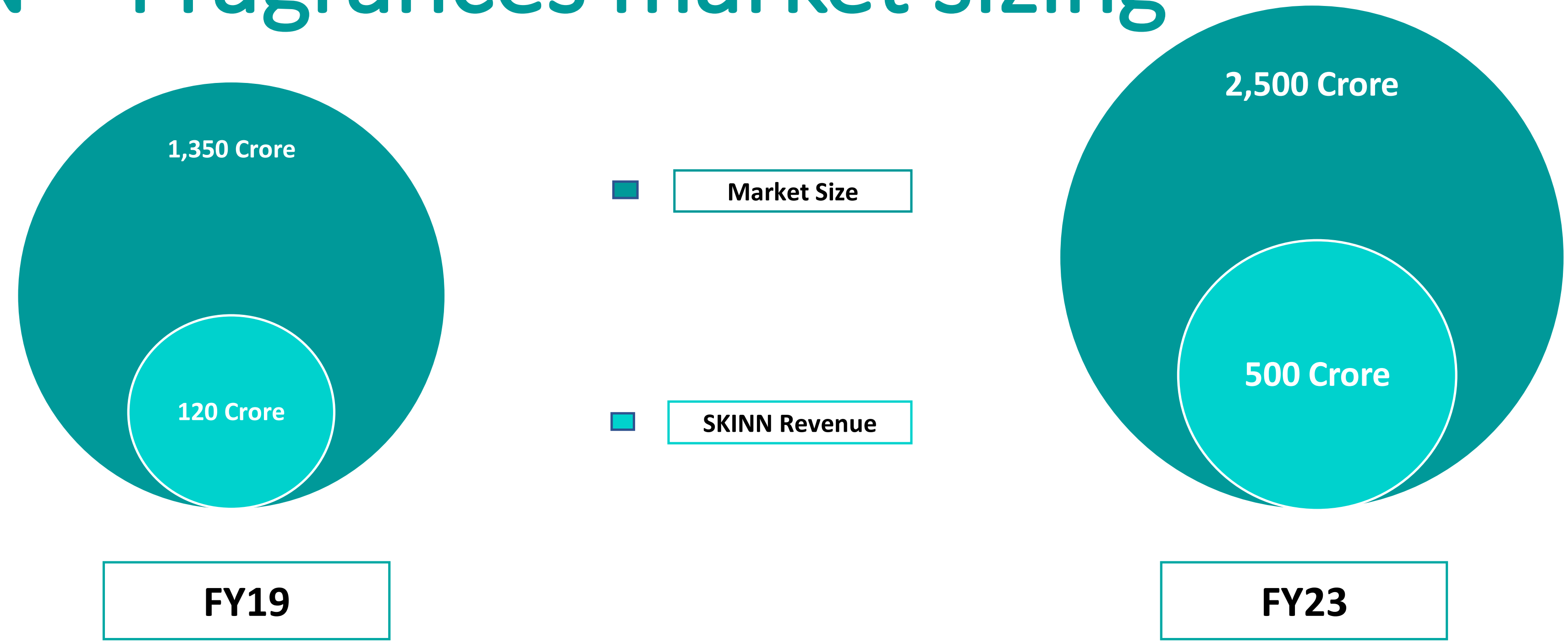
### Competition

- Low barriers to entry.
- Highly fragmented (3L+ Players).
- VC-backed e-commerce players + aggressive regional chains.

### Brand Prospects

- Consolidation yet to begin.
- High ad-spends and offers and promotions by players should keep margins lower.

# SKINN – Fragrances market sizing




- Management believes the **addressable opportunity** for SKINN is expected to grow from INR 1,350 Crore to INR 2,500 Crore by 2023
- SKINN is at ~9% penetration and management expects to increase it to 20% by FY23, thereby implying an increase in its **revenue** from INR 120 Crore to 500 Crore in the same period.
- However, given that overall revenue of Titan Company is ~ INR 20K Crore, the brand's growth would seem less pronounced in the overall scheme of things

# Segmental Performance - % sales analysis

| Segment-% of Sales | FY03 | FY09 | FY10 | FY11 | FY12 | FY13 | FY14 | FY15 | FY16 | FY17 | FY18 | FY19 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Watch & Accessories | 56.8% | 23.8% | 22.0% | 19.4% | 17.2% | 16.5% | 16.2% | 16.1% | 17.7% | 15.7% | 13.5% | 12.7% |
| Jewelery | 43.2% | 72.6% | 74.7% | 76.7% | 79.0% | 79.3% | 78.2% | 79.1% | 78.0% | 80.3% | 82.8% | 83.3% |
| Eyewear | - | - | - | - | - | - | - | 2.8% | 3.4% | 3.2% | 2.6% | 2.7% |
| Others | - | 3.6% | 3.2% | 3.7% | 3.7% | 4.0% | 4.5% | 1.9% | 0.5% | 0.5% | 0.6% | 0.7% |
| Corporate (Unallocated) | - | 0.0% | 0.1% | 0.2% | 0.1% | 0.2% | 1.0% | 0.5% | 0.5% | 0.4% | 0.4% | 0.7% |

- Watches were the first product out of Titan followed by Jewelry. The vast difference in their category size is explained by the above table where Jewelry (5% share) is double of what it was in FY03 while Watch & Accessories (65% Share) is one-fourth of the same.
- Their foray into Eyewear has not been a pleasant one. Although the category itself is not as large as jewelry, lower barriers to entry as well as VC-backed players have made the matter worse. The sector should consolidate over the next few years.
- While SKINN has done well since its launch in 2013, category size is smaller than eyewear
- Taneira could be a promising brand over the next decade but contribution to sales should be fairly limited
- Therefore, Titan should remain a branded jewelry play over foreseeable future

# Segmental Performance – Growth analysis

| Segment-YoY Growth | FY10 | FY11 | FY12 | FY13 | FY14 | FY15 | FY16 | FY17 | FY18 | FY19 |
|---|---|---|---|---|---|---|---|---|---|---|
| Watch & Accessories | 13.5% | 24.2% | 20.3% | 9.7% | 6.2% | 7.1% | 2.9% | 4.0% | 3.6% | 14.8% |
| Jewelery | 27.0% | 44.3% | 39.8% | 14.8% | 6.5% | 9.1% | -7.4% | 20.2% | 24.3% | 23.0% |
| Eyewear | - | - | - | - | - | - | 12.8% | 10.5% | 0.2% | 23.2% |
| Others | 11.4% | 60.5% | 35.0% | 25.9% | 20.7% | -53.6% | -76.4% | 19.2% | 45.9% | 40.4% |

- The company attributes the growth of Watches and Accessories in FY19 to focus on wearables, in-house and licensed brands through new age and modern channels. It claims to have the second position in wearables in India.

- FY14-16 was a regulatory roller coaster for the Jewelery Industry due to the following regulations: -
  - The introduction of the 80/20 rule for the gold imports, the abolition of the Gold-On-Lease – **both got reversed or would have led to business model disruption.**
  - The increasing of customs duty to 10% - still on.
  - The circumscribing of the jewellery purchase schemes to 25% of company net worth and the capping of interest rate to 12% (Impacted the Golden harvest Scheme then) – Titan re-introduced a new scheme adhering to new laws.
  - The lowering of the PAN card limit for purchases to INR2 lakhs, as opposed the INR5 lakhs limit that had prevailed since 2011 – still on.
  - The introduction of excise duty – still on.

# Segmental Performance – ROCE analysis

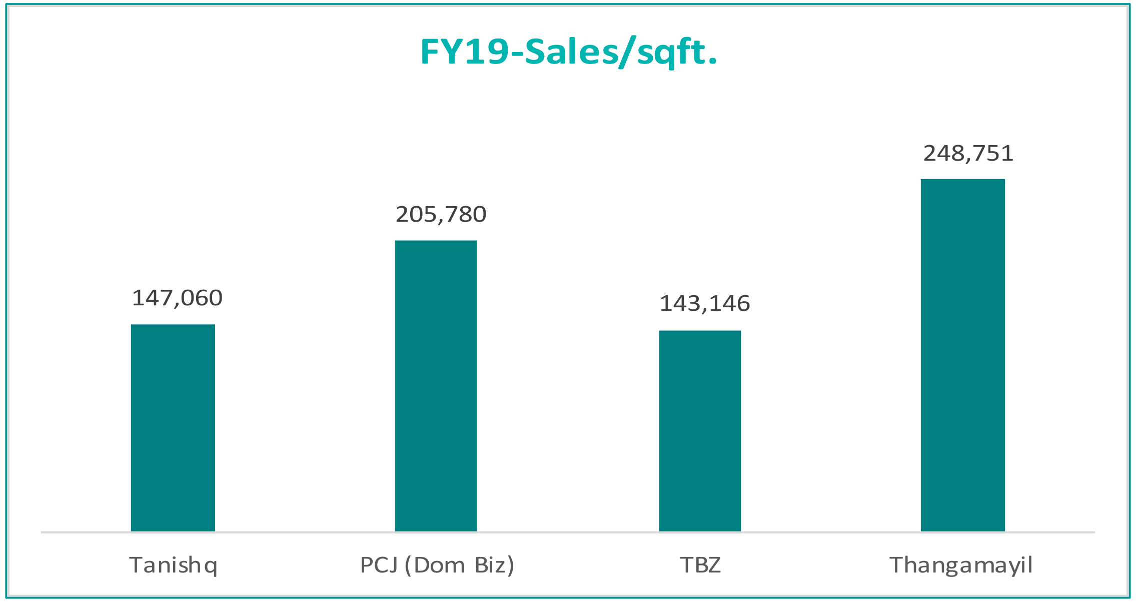
| *Segment Results-PBITM* | FY10 | FY11 | FY12 | FY13 | FY14 | FY15 | FY16 | FY17 | FY18 | FY19 |
|---|---|---|---|---|---|---|---|---|---|---|
| Watch & Accessories | 14.1% | 15.1% | 14.2% | 12.0% | 10.5% | 10.8% | 8.6% | 6.7% | 12.1% | 13.0% |
| Jewelery | 7.3% | 9.6% | 9.9% | 11.0% | 9.9% | 10.0% | 9.2% | 9.9% | 11.8% | 12.2% |
| Eyewear | | | | | | 7.5% | 5.5% | 3.1% | 0.6% | -0.5% |

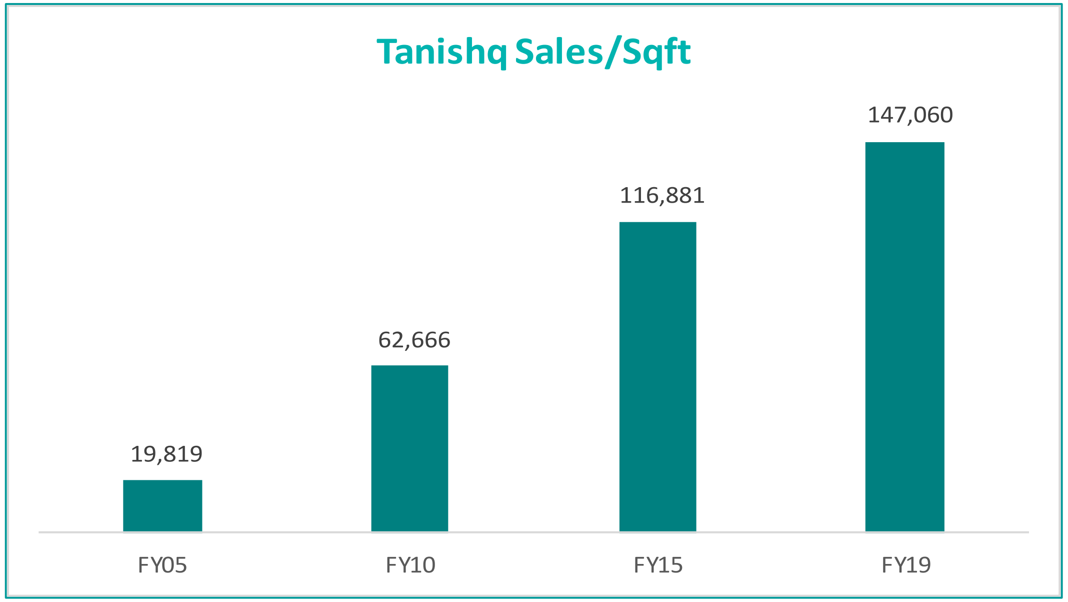
| Segment - RoCE | FY10 | FY11 | FY12 | FY13 | FY14 | FY15 | FY16 | FY17 | FY18 | FY19 |
|---|---|---|---|---|---|---|---|---|---|---|
| Watches | 41.6% | 41.7% | 32.2% | 22.3% | 19.9% | 22.1% | 15.8% | 12.5% | 21.5% | 21.7% |
| Jewelry | 45.9% | 73.8% | 81.8% | 74.3% | 43.8% | 35.5% | 27.2% | 43.5% | 63.6% | 61.5% |
| Eyewear | | | | | | 19.5% | 15.0% | 10.8% | 1.4% | -1.0% |

- FY13-17 was a bad phase for Watch Division due to
  - Introduction of smartwatches
  - E-commerce gained prominence leading to electronics and deep-discounted apparel getting prioritized over traditional watches.
  - Weak overall economy and sluggish demand

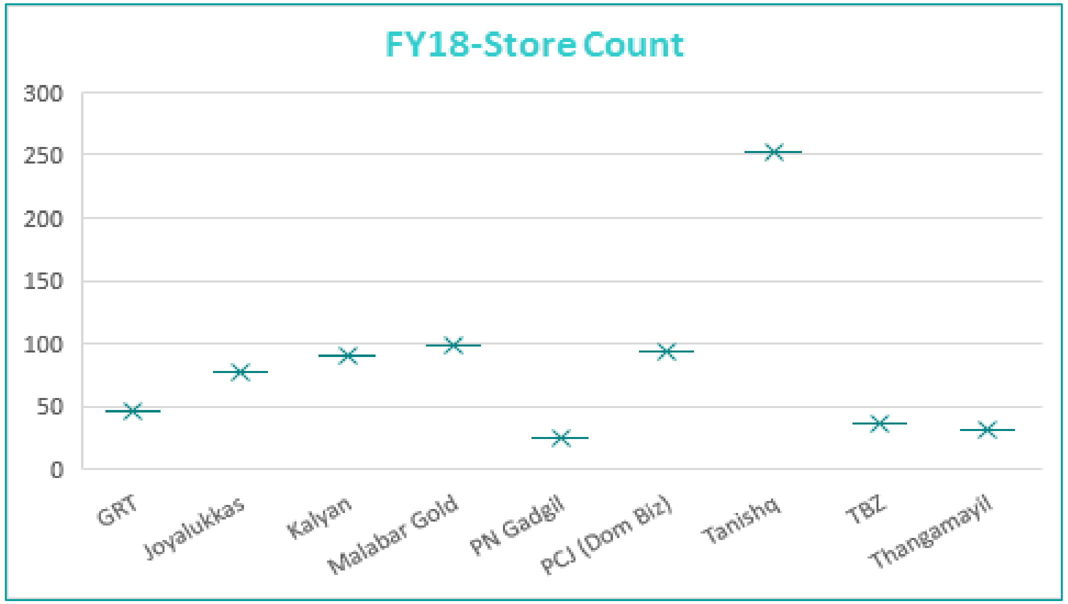
- Regulatory issues impacted jewelry growth during FY14-16; apart from that Jewelry Division has maintained healthy RoCE.
- Eyewear market has witnesses steep competition from regional as well as VC-backed players, there by impacting the division's margins and RoCE.

# Peer Comps – Sales efficiency




- Thangamayil added only 5 stores (16% expasion) in the last 5 years – 95% comes from gold jewelry
- Gold price up 3 x from FY05 till FY19 – significant improvement in sales density despite adding 35% higher sq ft over the last 4 years
- DMart has far higher thruput and margin vs Titan – strong contender for retail allocation from a portfolio perspective
- No credible competition for Titan based on data above



# Peer Comps – Other Financial Metrics

| | RoCE | | | |
|---|---|---|---|---|
| **Companies** | **FY16** | **FY17** | **FY18** | **FY19** |
| Titan | 26.77% | 25.8% | 33.7% | 35.7% |
| Thangamayil | 13.07% | 15.3% | 17.0% | 18.4% |
| GRT | 11.82% | 9.7% | 9.8% | |
| Joyalukkas | 16.36% | 20.5% | 23.8% | 22.6% |
| Malabar | 20.58% | 30.1% | 22.9% | |
| PN Gadgil | 33.41% | 35.5% | 30.3% | 28.0% |

| | RoE | | | |
|---|---|---|---|---|
| **Companies** | **FY16** | **FY17** | **FY18** | **FY19** |
| Titan | 20.5% | 18.1% | 23.7% | 24.9% |
| Thangamayil | 7.9% | 9.7% | 14.4% | 16.7% |
| GRT | 27.1% | 29.7% | 28.0% | |
| Joyalukkas | 12.7% | 15.7% | 23.6% | 11.9% |
| Malabar | 27.8% | 37.3% | 24.7% | |
| PN Gadgil | 48.6% | 47.7% | 47.8% | 41.8% |

| | EBIDTAM | | | |
|---|---|---|---|---|
| **Companies** | **FY16** | **FY17** | **FY18** | **FY19** |
| Titan | 8.06% | 8.7% | 10.2% | 10.1% |
| Thangamayil | 3.40% | 3.8% | 4.3% | 4.9% |
| GRT | 4.33% | 4.3% | 3.8% | |
| Joyalukkas | 4.46% | 5.2% | 6.8% | 7.0% |
| Malabar | 2.10% | 4.1% | 3.0% | |
| PN Gadgil | 4.69% | 6.1% | 6.1% | 6.2% |

| | CC Days | | | |
|---|---|---|---|---|
| **Companies** | **FY16** | **FY17** | **FY18** | **FY19** |
| Titan | 77 | 66 | 65 | 67 |
| Thangamayil | 69 | 64 | 86 | 107 |
| GRT | 65 | 67 | 63 | |
| Joyalukkas | 94 | 86 | 98 | 106 |
| Malabar | 35 | 45 | 42 | |
| PN Gadgil | 35 | 46 | 58 | 67 |

| | Total Debt/Equity | | | |
|---|---|---|---|---|
| **Companies** | **FY16** | **FY17** | **FY18** | **FY19** |
| Titan | 0.0 | 0.0 | 0.0 | 0.0 |
| Thangamayil | 1.0 | 0.7 | 1.2 | 0.8 |
| GRT | 6.8 | 5.5 | 5.3 | |
| Joyalukkas | 1.2 | 1.0 | 1.2 | 1.0 |
| Malabar | 2.1 | 4.5 | 1.5 | |
| PN Gadgil | 1.7 | 1.6 | 2.3 | 1.4 |

- Titan stands out on:
  - ROCE, EBITDAM, Cash Conversion and leverage
- PN Gadgil in the unlisted space looks interesting
- PCJ has been excluded due to governance issues
- TBZ has been excluded due to poor balance sheet

# Management Team (From 2007)

| Name | Designation | Age | Gross Rs. | Net Rs. | Qualification | Experience (years) | Last employment held | Commencement of employment |
|---|---|---|---|---|---|---|---|---|
| Babu S.S. | Associate Vice President -Manufacturing Services | 59 | 2,438,045 | 1,646,597 | B.E., PGDBM | 37 | HMT Ltd. | Jun-86 |
| Bhat B. | Managing Director | 53 | 10,777,500 | 6,778,050 | B.Tech., PGDM | 29 | Tata Press Ltd. | Jan-86 |
| Bhat H. * | Chief Operating Officer - Time Products & Exec. Vice President | 44 | 3,609,835 | 2,088,145 | B.E. (Hons), MBA | 20 | Tata Teleservices Ltd | Apr-06 |
| Chakravarti M. K. | Vice President - Corporate Affairs | 60 | 3,233,920 | 1,880,759 | B.A.(Hons), M.A | 37 | Suhail & Saud Bahwan Muscat | Jul-96 |
| Dwarkanath B. G. | Business Head - Precision Engineering & Sr. Vice President | 59 | 3,964,630 | 2,478,032 | B.E. | 36 | HMT Ltd. | Oct-85 |
| Govind Raj V. | Vice President - Retail & Marketing -Tanishq | 51 | 2,681,615 | 1,709,615 | BSc, MBA | 30 | Kinetic Engineering Ltd. | Jan-87 |
| Kailasanathan N. | Chief Information Officer & Vice President | 55 | 4,070,342 | 2,499,930 | B.Sc., PGDSM, MFM, PGDSE | 34 | ABB Ltd. | Jul-99 |
| Kapadia K. F. | Executive Vice President - Finance | 57 | 5,913,600 | 3,643,600 | B.A., PGDM | 32 | Tata Press Ltd. | Mar-92 |
| Kulhalli S. | Business Head - Retailing Services Group | 47 | 2,535,151 | 1,665,339 | B.Sc., MBA | 27 | Khimline Pumps Ltd. | Jul-88 |
| Kurien B. * | Chief Operating Officer - Watches & Sr. Vice President | 48 | 3,196,045 | 2,259,279 | B.Sc., PGDBM | 24 | Hindustan Lever Ltd. | Aug-87 |
| Narayana N.V. | Associate Vice President -Movement Mfg. & Watch Assembly | 58 | 2,465,383 | 1,204,080 | B.E. (Elect) | 30 | HMT Ltd. | May-86 |
| Natarajan L. R. | Vice President - Manufacturing -Tanishq | 52 | 2,730,308 | 1,742,170 | D.M.J.T | 29 | Protech Services | Feb-03 |
| Nayak K. S. * | Divisional Manager -Quality Engineering | 60 | 2,403,901 | 1,691,295 | B.E. (Mech), MIE | 36 | Concord Marketing & Services (P) Ltd. | Oct-87 |
| Raghunath H. G. | Vice President - Sourcing & Supply Chain | 52 | 2,684,716 | 1,748,037 | B.Sc., B.E. | 28 | HMT Ltd. | Jun-86 |
| Ramadoss S. | Vice President - Human Resources | 56 | 2,772,451 | 1,756,683 | B.A., PGD.PM & IR LLB | 34 | Greaves Ltd. | Jun-97 |
| Ravi Kant S. | Chief Operating Officer - Intl. Bus. Div. & Vice President | 47 | 3,712,473 | 2,395,573 | B.Sc., MBA | 23 | HCL Ltd. | Jun-88 |
| Shantharam M. S. | Chief Manufacturing Officer -Operations & Sr. Vice President | 58 | 4,085,992 | 2,265,709 | B.E. (Mech.) | 36 | HMT Ltd. | Oct-85 |
| Srinivasan C. | Business Head - Sonata | 51 | 2,762,435 | 1,739,099 | B.Sc., PGDM | 29 | Berger Paints India Ltd. | Dec-87 |
| Talati R. | Business Head - Fastrack & New Brands | 47 | 2,595,012 | 1,645,524 | B.Com., LLB | 29 | Tata Press Ltd. | Apr-86 |
| Venkataraman C. K. | Chief Operating Officer - Jewellery & Exec. Vice President | 46 | 4,168,371 | 2,614,950 | B.Sc., PGDM | 23 | Mudra Communications Ltd. | May-90 |

NOTES

- Current CEO Venkataraman is an oldtimer in the company
- Most top management have been lifetimers in the Tata group
- Like most other Tata group companies, longevity gets rewarded

# Leadership team

**Mr. CK Venkataraman**

**Managing Director**

With Titan since 1990.

CEO Jewelry (2005-19).

**Mr. Ajoy Chawla**

**CEO-Jewellery**

With Titan since 1990.

Was Chief Strategy Officer as well.

**Mr. S Ravi Kant**

**CEO-Watches & Accessories**

With Titan since 1988.

Previous CEO-Eyewear

**Mr. Saumen Bhaumik**

**CEO-Eyewear**

With Titan since 1989.

Previously, Chief Sales & Retail Officer-Watches & Accessories

# Leadership Team - II

**Mr. S Subramaniam**

**CFO & Head Of IT Function**

Previous experience with Essar Group, ITC, BPL Mobile, Mannai Corporation, Doha, etc.

**Mr. Rajnarayan**

**CHRO**

Previous experience with HCL, TNT, SHV Gas and Metro Cash and Carry.

**Mr. Sandeep Kulhalli**

**SVP-Retail and Marketing (Tanishq)**

Been part of Watch Division since 1988.

**Mr. Dinesh Shetty**

**General Counsel & Company Secretary**

Previous experience with Schenectady Herdillia Limited (SI Group), Marsh India Insurance Brokers Private Limited (Marsh & McLennan Companies,) and Parle AgroPrivate Limited.

**Mrs. Suparna Mitra**

**CSMO - Watches & Accessories**

Has served as Global Marketing Head – Titan

Experience in lifestyle / retail marketing area in companies like Hindustan Unilever, Talisma Corp and Arvind Brands Ltd.

# Board Of Directors

| Name | Designation |
|---|---|
| **Mr. N Muruganandam** | Chairman |
| **Mr. NN Tata** | Vice Chairman |
| **Mr. Bhaskar Bhat** | Non-Executive Non-Independent Director |
| **Mr. CK Venkataraman** | Managing Director |
| **Mr. Arun Roy** | Nominee Director |
| **Ms. Kakarla Usha** | Nominee Director |
| **Mrs. Hema Ravichandar** | Independent Director |
| **Mrs. Ireena Vittal** | Independent Director |
| **Mr. Ashwani Puri** | Independent Director |
| **Mr. B. Santhanam** | Independent Director |
| **Mr. Pradyumna Vyas** | Independent Director |
| **Dr. Mohanasankar Sivaprakasam** | Independent Director |

- ❑ TIDCO and TATA share 3 board members each. 6 independent directors currently
- ❑ Changed from 4 (TIDCO) ,4 (TATA) ,3 (independents) to the current structure starting 2010

- ❑ Historically, <u>IAS officers and other government officials have been part of the board which could be a large factor as to how Titan navigates through difficult regulatory environment so effectively.</u>

# Financials (last 5 year + fwd 3 year)

# Key Financials – I/S

| Titan Industries | | | 3.8 | 7.0 | | 22.1 | 16.9 | 15.5 | |
|---|---|---|---|---|---|---|---|---|---|
| Cons | FYE Mar, in Rs millions | FY15 | FY16 | FY17 | FY18 | FY19 | FY20E | FY21E | FY22E |
| | | 9.0% | -4.9% | 17.0% | 21.6% | 22.7% | 11.4% | 19.8% | 19.2% |
| + | Net revenues | 119,134 | 113,337 | 132,608 | 161,198 | 197,785 | 220,320 | 263,885 | 314,456 |
| - | Cost of revenues | 87,515 | 81,807 | 95,074 | 116,862 | 143,943 | 159,826 | 191,438 | 227,757 |
| | Gross profit | 31,619 | 31,529 | 37,534 | 44,336 | 53,843 | 60,493 | 72,446 | 86,699 |
| | | 26.5% | 27.8% | 28.3% | 27.5% | 27.2% | 27.5% | 27.5% | 27.6% |
| | **Aggregare Operating Expense** | **107,650** | **103,412** | **121,053** | **144,751** | **177,870** | **195,928** | **234,415** | **278,631** |
| | EBITDA | 11,484 | 9,925 | 11,555 | 16,447 | 19,915 | 24,391 | 29,469 | 35,825 |
| | *Margin %* | *9.6%* | *8.8%* | *8.7%* | *10.2%* | *10.1%* | *11.1%* | *11.2%* | *11.4%* |
| - | Depreciation | 896 | 982 | 1,105 | 1,314 | 1,628 | 3,026 | 3,486 | 3,989 |
| - | Amortisation | | | | | | | | |
| | EBIT | 10,588 | 8,943 | 10,450 | 15,133 | 18,287 | 21,365 | 25,983 | 31,837 |
| | | | | | | | 22% | 21% | |
| - | Interest expenses | 807 | 423 | 377 | 529 | 525 | 1,650 | 1,733 | 1,819 |
| + | Other income | 708 | 739 | 705 | 889 | 1,829 | 1,921 | 2,017 | 2,118 |
| - | Exceptional items | -- | -- | 1,027 | 167 | -- | -- | -- | -- |
| | PBT - Reported | 10,489 | 9,260 | 9,750 | 15,326 | 19,591 | 21,636 | 26,268 | 32,135 |
| | | | | | | | 10% | 21% | |
| - | Income taxes | 2,326 | 1,916 | 2,760 | 4,279 | 5,682 | 5,625 | 6,619 | 8,098 |
| | Reported net profit | 8,163 | 7,344 | 6,973 | 11,019 | 13,887 | 15,987 | 19,622 | 24,008 |
| | | | | | | | 15% | 23% | |
| - | Adjustments | -- | -- | (749) | (140) | (1,626) | (18) | (20) | (22) |
| - | Non-recurring items, if any | | | | | | | | |
| | Adjusted net profit | 8,163 | 7,344 | 7,722 | 11,159 | 15,513 | 16,005 | 19,642 | 24,030 |
| | | 11% | -10% | 5% | 45% | 39% | 3% | 23% | 22% |
| | | | | | 22.5 | 41.1 | 20.5 | 18.9 | |
| | | | | | | | | | |
| | **Reported EPS (in Rs)** | | | | | | | | |
| | Basic | 9.19 | 8.27 | 7.85 | 12.41 | 15.64 | 18.01 | 22.10 | 27.04 |
| | Diluted | 9.19 | 8.27 | 7.85 | 12.41 | 15.64 | 18.01 | 22.10 | 27.04 |
| | **Adjusted EPS (in Rs)** | | | | | | | | |
| | Basic | 9.19 | 8.27 | 8.70 | 12.57 | 17.47 | 18.03 | 22.12 | 27.07 |
| | Diluted | 9.19 | 8.27 | 8.70 | 12.57 | 17.47 | 18.03 | 22.12 | 27.07 |

# Key Financials – B/S

| Titan Industries<br>FYE Mar, in Rs millions | | FY15 | FY16 | FY17 | FY18 | FY19 | FY20E | FY21E | FY22E |
|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | | | |
| + | Inventories | 40,487 | 44,472 | 49,257 | 59,248 | 70,388 | 71,971 | 86,206 | 102,561 |
| + | Sundry debtors | 1,897 | 1,925 | 2,076 | 2,957 | 4,205 | 3,320 | 3,976 | 4,738 |
| + | Loans & advances | 6,340 | 3,479 | 4,004 | 3,822 | 3,757 | 4,185 | 5,013 | 5,974 |
| + | Other current assets | 50 | 3,303 | 3,201 | 7,143 | 10,328 | 9,257 | 9,257 | 9,257 |
| + | Cash & cash equivalents | 2,138 | 1,164 | 7,789 | 6,179 | 10,665 | 25,737 | 28,159 | 31,872 |
| **+** | ***Current assets*** | ***50,912*** | ***54,343*** | ***66,328*** | ***79,350*** | ***99,343*** | ***114,470*** | ***132,611*** | ***154,402*** |
| + | Net fixed assets | 7,543 | 8,475 | 10,071 | 11,677 | 12,353 | 10,739 | 9,810 | 8,614 |
| + | Net intangible assets | -- | 200 | 3,337 | 3,495 | 3,631 | 3,631 | 3,631 | 3,631 |
| + | Investments | 31 | 401 | 4,307 | 360 | 1,084 | 1,084 | 1,084 | 1,084 |
| + | Deferred tax asset, net | 193 | (131) | 33 | 329 | 688 | 688 | 688 | 688 |
| + | Miscellaneous expenditure | -- | -- | -- | -- | -- | -- | -- | -- |
| + | Other assets | | | | | | | | |
| | **Total assets** | **58,680** | **63,289** | **84,076** | **95,210** | **117,098** | **130,612** | **147,824** | **168,419** |
| | | | | | | | | | |
| + | Current liabilities | 22,490 | 25,794 | 40,077 | 42,129 | 53,978 | 56,960 | 61,272 | 66,110 |
| + | Provisions | 4,353 | 1,302 | 1,412 | 1,411 | 1,960 | 2,613 | 2,998 | 3,440 |
| + | Long-term debt | -- | -- | -- | -- | 317 | -- | -- | -- |
| + | Short-term debt | 998 | 1,131 | -- | 790 | 1 | -- | -- | -- |
| + | Other liabilities | | | | | | | | |
| + | Minority interests | | | 264 | (18) | 141 | 141 | 141 | 141 |
| + | Shareholder's equity | 30,839 | 35,063 | 42,324 | 50,899 | 60,702 | 70,898 | 83,414 | 98,728 |
| | **Total liabilities & equity** | **58,680** | **63,289** | **84,076** | **95,210** | **117,098** | **130,612** | **147,824** | **168,419** |

# Financial Ratios

| Particulars | FY15 | FY16 | FY17 | FY18 | FY19 | FY20E | FY21E | FY22E |
|---|---|---|---|---|---|---|---|---|
| **Growth Ratios** | | | | | | | | |
| Revenue | 9% | -5% | 17% | 22% | 23% | 11% | 20% | 19% |
| EBIDTA | 10% | -14% | 16% | 42% | 21% | 22% | 21% | 22% |
| Adj. PAT | 11% | -10% | 5% | 45% | 39% | 3% | 23% | 22% |
| **Margin Ratios** | | | | | | | | |
| Gross | 27% | 28% | 28% | 28% | 27% | 27% | 27% | 28% |
| EBIDTA | 10% | 9% | 9% | 10% | 10% | 11% | 11% | 11% |
| Adj. PAT | 7% | 6% | 6% | 7% | 8% | 7% | 7% | 8% |
| **Performance Ratios** | | | | | | | | |
| CFO/EBIDTA | 44% | 58% | 148% | 30% | 62% | 99% | 47% | 48% |
| RoE (%) | 29% | 22% | 20% | 24% | 28% | 24% | 25% | 26% |
| RoCE (%) | 27% | 23% | 18% | 24% | 25% | 26% | 27% | 28% |
| Fixed Asset Turnover | 2.3 | 2.2 | 2.2 | 2.2 | 2.2 | 2.1 | 2.1 | 2.2 |
| **Valuation Metrics** | | | | | | | | |
| Fully Diluted Shares (Mn) | 887.8 | 887.8 | 887.8 | 887.8 | 887.8 | 887.8 | 887.8 | 887.8 |
| Market Cap (Mn) | 347657 | 301048 | 410823 | 836561 | 1013719 | 1060372 | - | - |
| P/E (x) | 43 | 41 | 53 | 75 | 65 | 66 | 54 | 44 |
| P/OCF (x) | 69 | 52 | 24 | 171 | 82 | 44 | 77 | 62 |
| P/BV (x) | 11 | 9 | 10 | 16 | 17 | 15 | 13 | 11 |

# Key quarterly results and outlook

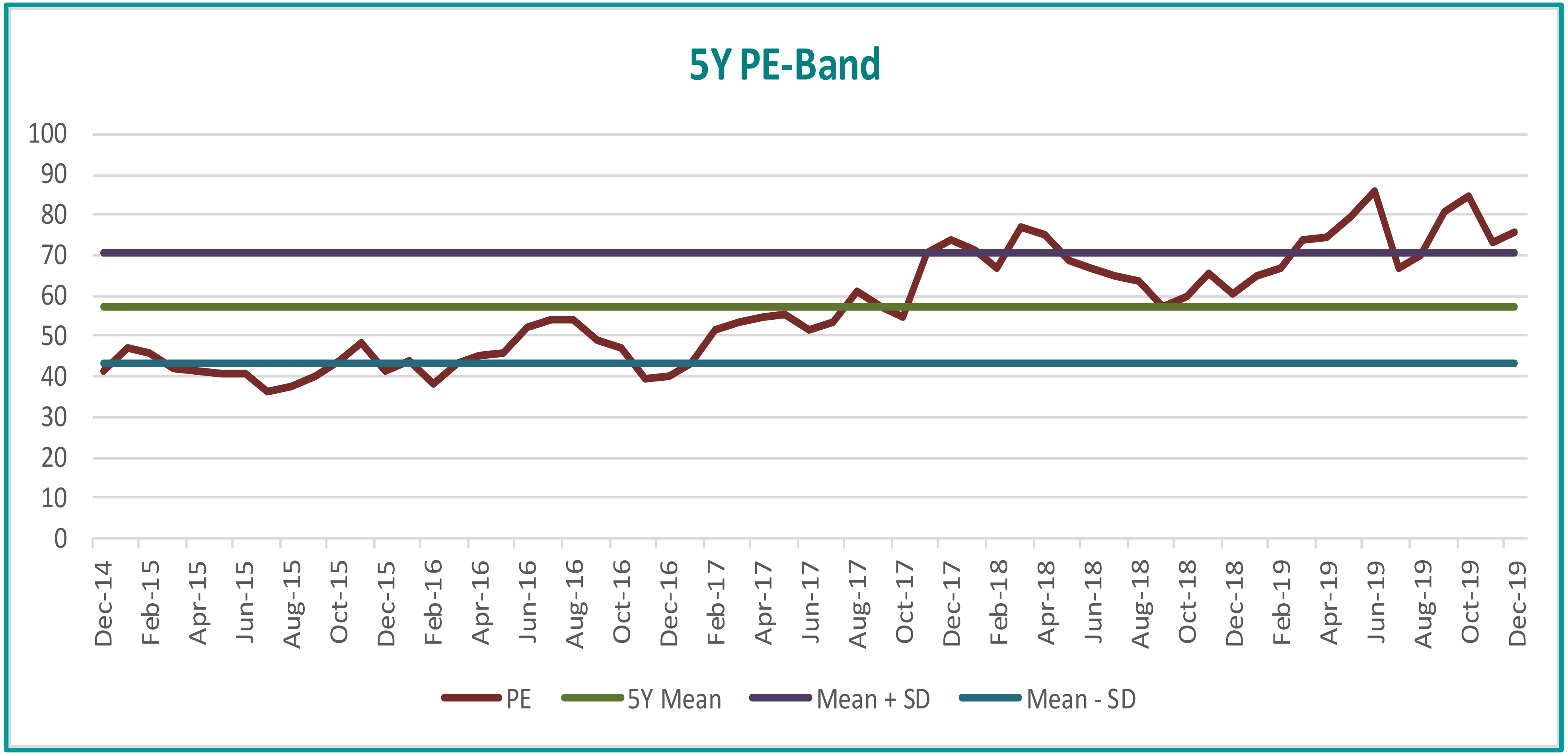
| Rs (in mn) | 2QFY19 | 2QFY20 | % YoY |
|---|---|---|---|
| **Net Sales** | **43,534** | **43,708** | **0.4** |
| **EBITDA (adjusted)** | **4,757** | **4,640** | **-2.5** |
| EBITDA Margin (%) | 10.9 | 10.6 | -31bps |
| **PBT** | **5,079** | **4,444** | **-12.5** |
| **PAT** | **3,764** | **3,352** | **-11.0** |
| **Segmental Revenues** | **2QFY19** | **2QFY20** | **% YoY** |
| Watches | 6,757 | 7,187 | 6.4 |
| Jewellery | 35,821 | 35,278 | -1.5 |
| Eyewear | 1,200 | 1,542 | 28.5 |
| **Segmental EBIT** | **2QFY19** | **2QFY20** | **% YoY** |
| Watches | 1218 | 1134 | -6.9 |
| Jewellery | 3920 | 3841 | -2.0 |
| Jewellery (adjusted) | 4250 | 3841 | -9.6 |
| **EBIT Margins (%)** | **2QFY19** | **2QFY20** | **% YoY** |
| Watches | 18.0 | 15.8 | -225bps |
| Jewellery (adjusted) | 11.9 | 10.9 | -98bps |
| Eyewear | -0.8 | 1.3 | 212bps |

**Management outlook:**

- 12 quarter low growth due to increase in gold prices
- 2005 and 2010 had seen growth in volumes with increase in gold price
- This time consumer sentiment has been weak hence pick up is not seen
- 2H20 guidance has been cut from 20% to 12%
- Should be the best time to accumulate the stock for the long term

# Valuation/Shareholding

# PE-Band




- ❑ 5 Year average mean is 57 and TTM EPS is 16.16 i.e., 921 is the ideal price to buy according to this methodology.

# DCF implied growth

| INR Crores |
|---|

| Year | FY19 | FY20 | FY21 | FY22 | FY23 | FY24 | FY25 | FY26 | FY27 | FY28 | FY29 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Net Income** | **19779** | **22745** | **26157** | **30081** | **34593** | **39782** | **45749** | **52611** | **60503** | **69578** | **80015** |
| ***YoY (%)*** | | *15%* | *15%* | *15%* | *15%* | *15%* | *15%* | *15%* | *15%* | *15%* | *15%* |
| **EBIDTA** | 1989 | 2275 | 2616 | 3008 | 3459 | 3978 | 4575 | 5261 | 6050 | 6958 | 8002 |
| ***EBIDTA (%)*** | | 10.0% | 10.0% | 10.0% | 10.0% | 10.0% | 10.0% | 10.0% | 10.0% | 10.0% | 10.0% |
| **CFO** | 1242.92 | 1433 | 1674 | 1955 | 2283 | 2665 | 3111 | 3630 | 4235 | 4940 | 5761 |
| ***CFO/EBIDTA*** | | 63.0% | 64.0% | 65.0% | 66.0% | 67.0% | 68.0% | 69.0% | 70.0% | 71.0% | 72.0% |
| **Capex** | 264.72 | 373 | 403 | 433 | 464 | 494 | 522 | 548 | 569 | 585 | 593 |
| ***Capex (% of Sales)*** | | 1.6% | 1.5% | 1.4% | 1.3% | 1.2% | 1.1% | 1.0% | 0.9% | 0.8% | 0.7% |
| **FCFF** | **978** | **1060** | **1271** | **1522** | **1819** | **2172** | **2589** | **3083** | **3666** | **4355** | **5168** |
| **Period** | | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
| **Discounted FCFF** | | 963 | 1050 | 1143 | 1243 | 1348 | 1461 | 1582 | 1710 | 1847 | 1993 |

| | |
|---|---|
| **PV of FCFF** | 14341 |
| **Terminal Value** | 184335 |
| **Discounted TV** | 71069 |
| **Enterprise Value** | 85410 |
| **Cash** | 1135.7 |
| **Debt** | 31.67 |
| **Equity Value** | 86514 |
| **Outstanding Shares** | 88.7 |

| | |
|---|---|
| **Intrinsic Value (INR)** | **975** |

| | |
|---|---|
| **CMP** | **1202** |

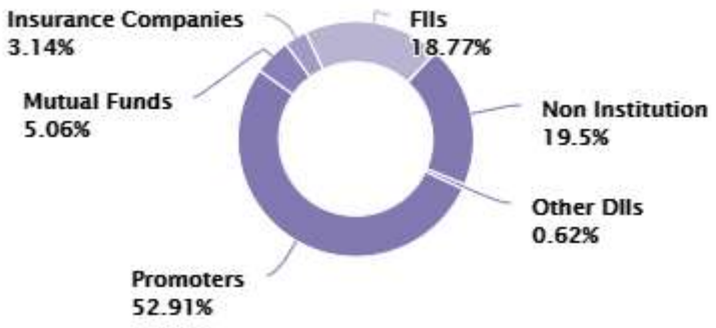
| **CAPM** | |
|---|---|
| Risk free rate | *6.46%* |
| Beta | 0.93 |
| *Market Return* | *8.65%* |
| Risk Premium | 5.00% |
| **Cost of equity** | **11.1%** |

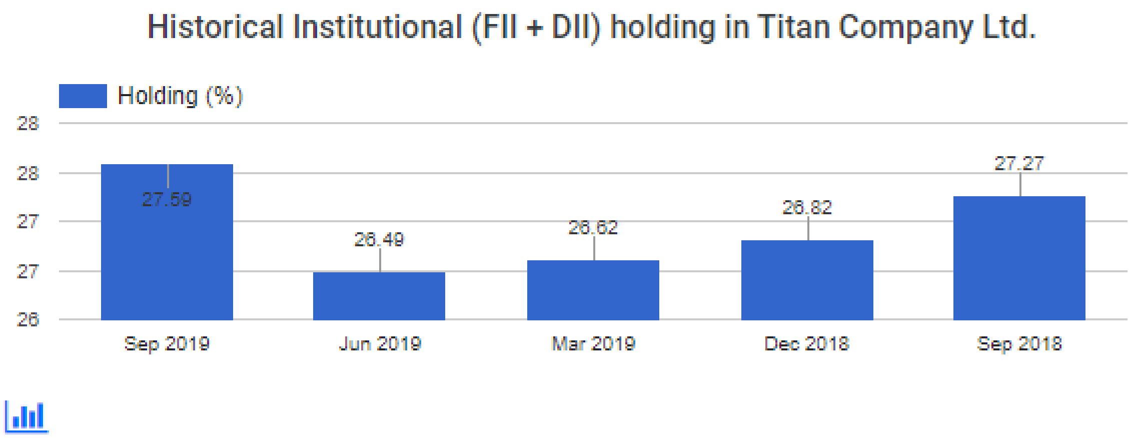
| | |
|---|---|
| **WACC** | **10.0%** |

| | |
|---|---|
| **TV Growth rate** | **7%** |

- ❑ Implied growth of 15% for the next 10 years and terminal value of 7% at a WACC of 10%
- ❑ Price comes to INR 975

# Shareholding pattern – Sept 2019




- **Majority shareholders :** Promoters
- **Pledged Promoter Holdings :** None
- **Mutual Funds :** Held in 43.00 Schemes (5.06%)
- **FIIs :** Held by 744 FIIs (18.77%)
- **Promoter with highest holding :** Tamilnadu Industrial Development Corporation Ltd (27.876%)
- **Highest Public shareholder :** Jhunjhunwala Rakesh Radheshyam (5.1%)
- **Individual Investors Holdings :** 16.92%

- Promoters holding marginally changed to 52.91% as of Sep 2019 qtr.
- FII/FPI holding marginally changed to 18.77% as of Sep 2019 qtr.
- Number of FIIs/FPIs holding stock rose by 10 to 855 in Sep 2019 qtr.
- Mutual Funds holding marginally changed to 5.06% as of Sep 2019 qtr.
- Number of Mutual Funds holding stock rose by 2 to 43 in Sep 2019 qtr.
- Institutional Investors have increased their holdings by 1.1% of holdings in Sep 2019 qtr.